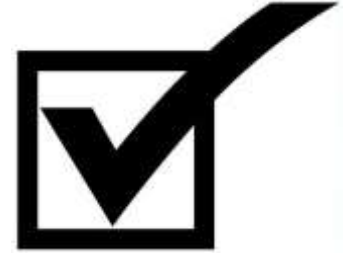




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



FUNDAMENTAL ACCOUNTING (100)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (16 @ 3 points each) _____ (48 points)

Job 1 – Financial Analysis (16 @ 3 points each) _____ (48 points)

Job 2 – Analyzing Special Journal Transactions _____ (45 points)

TOTAL POINTS _____ **(246 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 2 points each; 60 points total

1.	A	16.	A
2.	B	17.	B
3.	D	18.	A
4.	B	19.	D
5.	D	20.	C
6.	C	21.	C
7.	D	22.	D
8.	A	23.	C
9.	C	24.	B
10.	C	25.	B
11.	D	26.	A
12.	D	27.	D
13.	C	28.	D
14.	B	29.	A
15.	C	30.	B

Account Identification – 1 point each, 45 points total

Account Name	Classification	Normal Balance	Financial Statements
Accumulated Depreciation	A	Cr	BS
Fees Revenue	R	Cr	IS
Building	A	Dr	BS
Bad Debts Expense	E	Dr	IS
Unemployment Tax Payable	L	Cr	BS
Dividends	SE	Dr	SOSE
Income Summary	SE	N	None
Supplies Expense	E	Dr	IS
Capital Stock	SE	Cr	SOSE & BS
Purchases Discount	C	Cr	IS
Sales	R	Cr	IS
Merchandise Inventory	A	Dr	IS & BS
Unearned Fees	L	Cr	BS
Payroll Taxes Expense	E	Dr	IS
Prepaid Rent	A	Dr	BS

Short Answer Problems – 3 points each, 48 total points

1. a. 21,021
 b. 21,450
2. a. 205,000
 b. 131,565
 c. 336,565
3. a. 3,100
 b. June 13
 c. 3,134.88
4. a. 3,200
 b. 16,800
 c. 13,600
 d. Loss
 e. 2,400
5. a. 84,502
 b. 208,870
 c. 76,645

Job 1 – Financial Ratios – 3 points each; 48 points

- | | |
|-------------------|-----------------------|
| a. <u>165,800</u> | i. <u>57,730</u> |
| b. <u>223,250</u> | j. <u>25.9%</u> |
| c. <u>57,460</u> | k. <u>12.0%</u> |
| d. <u>75,760</u> | l. <u>108,340</u> |
| e. <u>97,490</u> | m. <u>2.9 or 2.89</u> |
| f. <u>147,490</u> | n. <u>33.9%</u> |
| g. <u>223,250</u> | o. <u>51.4%</u> |
| h. <u>267,690</u> | p. <u>2.31</u> |

Job 2 – Analyzing Transactions Using Special Journals – 1 point each, 45 points; Note to Graders – Accounts debited and credited must be exact to count as correct.

	Journal	Debit	Credit
1.	<u>CP</u>	<u>160</u>	<u>110</u>
2.	<u>CP</u>	<u>660</u>	<u>110</u>
3.	<u>S</u>	<u>120</u>	<u>410, 230</u>
4.	<u>P</u>	<u>510</u>	<u>210</u>
5.	<u>CR</u>	<u>110, 420</u>	<u>120</u>
6.	<u>G</u>	<u>210</u>	<u>530</u>
7.	<u>CP</u>	<u>210</u>	<u>520, 110</u>
8.	<u>G</u>	<u>330</u>	<u>240</u>
9.	<u>G</u>	<u>130</u>	<u>120</u>
10.	<u>CP</u>	<u>610</u>	<u>110</u>
11.	<u>CP</u>	<u>510</u>	<u>110, 210</u>
12.	<u>CR</u>	<u>110</u>	<u>410, 230</u>
13.	<u>CR</u>	<u>110</u>	<u>130, 440</u>
14.	<u>CP</u>	<u>240</u>	<u>110</u>
15.	<u>G</u>	<u>340</u>	<u>320</u>